

REVISION ETHICS

CODE OF PROFESSIONAL CONDUCT

I. PROFESSIONALISM	A. Knowledge of the Law B. Independence and Objectivity C. Misrepresentation D. Misconduct
II. INTEGRITY OF FINANCIAL MARKET	A. Material Nonpublic information B. Market Manipulation
III. DUTIES TO CLIENTS	A. Loyalty, Prudence and Care B. Fair Dealing C. Sustainability D. Performance Presentation
IV. DUTIES TO EMPLOYERS	A. Loyalty B. Additional Compensation Arrangements C. Responsibility of Supervisors
V. INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS	A. Diligence and Reasonable Basis B. Communication with Clients and Prospective Clients C. Record retention
VI. CONFLICTS OF INTEREST	A. Disclosure of conflicts B. Priority of Transactions C. Referral Fees
VII. RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE	A. Conduct as members and candidates in the CFA program B. Reference to CFA Institute, the CFA Designation, and the CFA program

REVISION ETHICS

Standard I: I. PROFESSIONALISM Standards I (A): Knowledge of the law

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights

Key points

Relationship between the Code & Standard and Applicable Law

- Understand, comply laws applicable to their professional activities
- Follow the strictest rules
⇒ Don't violate any rules

Participation in or Association with Violations by Others

- If discussions with the person or persons committing the violation are unsuccessful, M&C must choose to disassociate
- Legal counsel is recommended when M&C is doubtful about a potential violation
- M&C are strongly encouraged to report potential violation by clients or coworkers to supervisors

Investment Products and Applicable Laws

Be aware of where investment products or packages will be sold as well as their places of origination and practice due diligence when transacting cross-border business

REVISION ETHICS

Standard I: I. PROFESSIONALISM Standards I (B): Independence and Objectivity

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights

Key points

Investment-Banking Relationships

Conflicts of interest need to be minimized and disclosed to clients

Public companies

A factual manner is required from analyst even though they might be hindered by companies during due diligence

Buy side clients

Portfolio managers are the main buyer of sell-side reports and they have a responsibility to respect and foster the intellectual honesty of sell-side research

Credit Rating Agencies Opinions

- M&C working at credit rating agencies: report without undue influence from clients
- M&C consuming research by credit rating agencies: independently validate the rating granted regarding conflicts of interest

REVISION ETHICS

Standard I: I. PROFESSIONALISM Standards I (B): Independence and Objectivity

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights	Key points
Issuer-paid Research	- Conflicts of interest and nature of compensation should be disclosed - Compensation should be flat rate
Travel Funding	M&C should always commercial transport at their own expense. If not possible, only accept modest arrangement.
Performance Measurement and Attribution	M&C decisions must not be affected by pressures
Influence during the Manager Selection/Procurement Process	Solicitations which may not benefit M&C directly is still considered a violation

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Standard I: I. PROFESSIONALISM Standards I (C): Misrepresentation

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights	Key points
Impact on Investment Practice	- M&C must not misrepresent credential, qualification and performance record - Due Diligence is needed to verify 3rd party materials - The use of external managers must be disclosed and their investment practices must not be misrepresented
Performance Reporting	Basis for choosing relevant benchmarks must be disclosed
Social media	M&C must not take advantage of being anonymous in the internet to misrepresent their ability and qualification
Omission	- Members and candidates should not knowingly omit inputs used in any models and processes - Cherry picking must be prevented
Plagiarism	Act of plagiarism violates the standard
Work completed for employers	Regarding firm-developed materials, M&C are free to use them but must not claim them as their own

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Standard I: I. PROFESSIONALISM

Standards I (D): Misconduct

- It's important to note that “reflects adversely on **professional** activities” is the keyword of this standard.
- Members must not try to use enforcement of this Standard against another member to settle personal, political, or other disputes that are not related to professional ethics or competence.
- The absence of appropriate conduct or the lack of sufficient effort may be a violation of Standard I(D).

Not a violation	Violation
Drinking after working hours	Excess drinking while working
Personal bankruptcy	Personal bankruptcy involving fraudulent or deceitful business conduct
Fighting with strangers	Fighting in workplace
Join a protest unrelated to professional issues	Not conducting due diligence
....	Not understand nature of the risk before making investment advice

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Standard II: INTEGRITY OF FINANCIAL MARKET Standards II (A): Material Nonpublic Information

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights	Key points
Mosaic Theory	Financial analysts are free to act on mosaic without risking violation and they should save and document all their research
Industry Expert	M&C are allowed to seek counsel from industry experts but they must ensure that they are not requesting or acting on confidential information received from external experts
Social media	Publicity of information must be ensure by M&C
Investment research report	The analyst's reports don't need to be made public just because its conclusions are material

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Standard II: INTEGRITY OF FINANCIAL MARKET

Standards II (A): Market Manipulation

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights

Key points

Information Based Manipulation

Pumping will not violate the standard if the intent is not to harm investors and fully disclose.

Transaction Based Manipulation

Remember the definition of transaction based market.

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Standard III: DUTIES TO CLIENTS Standard III(A): Loyalty, Prudence, and Care

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Application of Loyalty, Prudence, and Care

- Fulfill the obligations outlined explicitly or implicitly in the client agreements to the best of their abilities and with loyalty, prudence, and care.
- M&C must comply with any legally imposed fiduciary duty, but this duty is not compulsory for all members.

Identifying the Actual Investment Client

- **Pension plan:** clients are the ultimate beneficiaries, not the firm.
- **Index Funds:** M&Cs are obliged to follow stated mandate, not individual clients risk profile.

Developing the Client's Portfolio

- Portfolio have to be managed in accordance with the IPS.
- Investment decisions must be judged in the context of the **total portfolio**.

Soft commission policies

- Paying higher brokerage commission than normal without benefiting the client → violate
- "Directed brokerage" practice is permitted.

Proxy voting policies

Vote proxies in an informed and responsible manner, but M&Cs are not required to vote under all circumstances.

REVISION ETHICS

Standard III: DUTIES TO CLIENTS

Standard III(B): Fair Dealing

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Providing more specialized, in-depth service

Providing different levels of service is acceptable, as long as it doesn't negatively affect other clients, and M&C have to disclose it to clients.

Investment Recommendations

- **Recommendation dissemination:** Ensure that information is disseminated in such a manner that all clients have a fair opportunity to act on.
- **Recommendation change:** Communicate material changes to all current clients, particularly who have acted on or been affected by the earlier advice

Investment Actions

- **New issues:** If issues are oversubscribed, distribute pro-rata, and forgo personal sales to free up allocation for clients.
- If family-member accounts are managed similarly to the accounts of other clients of the firm, these accounts should not be excluded.
- Must not take advantage of their position in the industry to the detriment of clients.

REVISION ETHICS

Standard III: DUTIES TO CLIENTS

Standard III(C): Suitability

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Developing Investment Policy

Client's information should be gathered and incorporated into a **written investment policy statement (IPS)** that addresses the client's risk tolerance, return requirements, and all investment constraints.

Understand client risk profile

Analyze and quantify the risk of investment strategies in advance.

Update investment policy

Updating the IPS should be repeated **at least annually** and also prior to material changes

The need for diversification

An investment with high relative risk may be a suitable investment:

- in the context of the entire portfolio (*diversification*); or
- when the client's objectives contemplate risky investments.

Unsolicited trade request

- If the request has material impact, IPS must be updated.
- If client do not agree to update the IPS, (1) find a alternative or (2) end the relationship

Manage to an mandate

Managing a fund to an index or an expected mandate ⇒ Obligated to invest in a manner consistent with the stated mandate.

REVISION ETHICS

Standard III: DUTIES TO CLIENTS

Standard III(D): Standard III(D): Performance Presentation

EXAM FOCUS (★)

- Provide credible performance information to clients and prospective clients.
- Avoid misstating performance or misleading clients and prospective clients about the investment performance of members or candidates or their firms.
- Not state or imply that clients will obtain or benefit from a rate of return that was generated in the past.

- Presentation is brief



Make available the detailed information supporting that presentation.

- Promoting the success or accuracy of their recommendations



Ensure that their claims are fair, accurate, and complete.

REVISION ETHICS

Standard III: DUTIES TO CLIENTS Standard III(E): Preservation of Confidentiality

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Status of Client

- Maintain confidentiality for not only current, but also **former**, and **prospective** clients.
- Only disclose information when permitted by clients

Compliance with Laws

- Comply with applicable law to decide whether to disclose or not in certain circumstances.
- Seek legal counsel when in doubt.

Electronic Information and Security

- Standard III(E) does not require members or candidates to become experts in information security
However, they must have a **thorough** understanding of the policies of their employer.

Professional Conduct Investigations by CFA Institute

M&C are not prevented from **cooperating** with an investigation by the CFA Institute Professional Conduct Program (PCP).

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Standard IV: DUTIES TO EMPLOYERS

Standard IV(A): Loyalty

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Employer Responsibility

Employers should **not develop conflicting policies and procedures**

Independent Practice

Independent practice for compensation is permitted, as long as:

- It does not competitively conflict with employer
- M&C fully disclose and receive employer's consent.

Leaving an Employer

- Must: Plan to leave → notify clients, continue to act for the best interest of employer.
- Must not: misappropriating trade secrets & confidential information, soliciting clients before leaving,
- Accepted: use knowledge and experience at another employer; contact former clients after leaving using public information; make preparations as long as it does not breach duty of loyalty.

Whistle blowing

- Duty to employer could be violated to protect clients or integrity of the market, but not for personal gain.

Nature of Employment

- Independent contractors are obliged to abide by contract agreements.

REVISION ETHICS

Standard IV: DUTIES TO EMPLOYERS

Standard IV(B): Additional Compensation Arrangements

EXAM FOCUS (★)

Bonus

- Client bonus depend on future performance : compensation → require written consent
- Client bonus rewarding past performance : Gift → require disclosure

Written consent

Any form of communication that can be documented

REVISION ETHICS

Standard IV: DUTIES TO EMPLOYERS Standard IV(C): Responsibilities of Supervisors

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Delegation

- Exercise supervisor responsibility whether employees under control are CFA M&C or not.
- Large number of employees $\Rightarrow$ delegate supervisor responsibility to subordinates

System for supervision

- Absence of a compliance system or an inadequate compliance system $\Rightarrow$ decline in writing supervisory responsibility.
- Violation $\Rightarrow$ conduct investigation, place restriction on suspect, ensure that the violation will not be repeated.

Supervision includes detection

Violation happens:

- If M&C knows the compliance procedure was now followed $\Rightarrow$ violate.
- If M&C adopt reasonable compliance, but is still unable to detect violation $\Rightarrow$ not violate.

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Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standards V (A): Diligence and reasonable basis

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights	Key points
Defined diligence and reasonable basis	• Diligence: The level and thoroughness of the information need to be reviewed by M&C before making investment recommendation • Reasonable basis: Investment decision is based on facts that are known and understood at the time of recommendation
Using secondary or 3 rd party research	• M&C should make reasonable efforts to determine if the research is sound • Policies regarding 3rd party research should be developed
Using Quantitatively Oriented Research	• M&C must understand parameters, limitations and assumptions of the model • Models need to be tested carefully before incorporating into recommendation
Developing Quantitatively Oriented Research	Pay particular attention to the assumptions used in the analysis and the rigor of the analysis
Group Decision Making	No need to dissociate despite disagreement if the group decision is based on objectivity

REVISION ETHICS

Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Standards V (B): Communicate with clients and prospective clients

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights

Key points

Informing clients of investment process

Information needed to convey to clients: decision making process and subsequently changes to it, risk and limitation of the process, external expertise

Different forms of communication

All forms of communication are accepted but fair dealing must be ensured.

Identifying risks and limitations

M&C are required to disclose risk known at the time of investment recommendation.

Report presentation

Focus on important elements and ensure consistent methodology (any changes must be disclosed)

Facts vs opinions

Failure to distinguish between facts and opinions when making investment recommendation violates this standard

REVISION ETHICS

Standard V: INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS Standards V (C): Record retention

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights

New media records

All media should be recorded and all records are property of firm

Records are firm property

Member changing firm must recreate analysis supporting docs through new firms and public sources and must not rely on memories or materials at the old firm

Local requirements

M&C must adhere to local law and CFAI rules (at least 7 years)

REVISION ETHICS

Standard VI: CONFLICTS OF INTEREST

Standards VI (A): Conflicts of interest

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights

Key points

Disclosure to employer

M&C are best to avoid conflicts if possible and disclose clearly to employers in case of unavoidable conflicts

Disclosure to client

M&C must disclose the relationship between the issuer and the firm; Fee arrangements, sub-advisory agreements, and nonstandard fees and other benefits gained from investment recommendation

Cross-departmental conflicts

M&C and their firms should attempt to resolve situations presenting potential conflicts of interest or disclose them

Conflicts with stock ownership

Sell side M&C: Disclose and beneficial ownership
Buy side M&C: Procedures need to be developed and disclose

Conflict as a director

Directors should be isolated from making investment decisions by the use of firewalls or similar restrictions.

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Standard VI: CONFLICTS OF INTEREST Standards VI (B): Priority of transactions

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights

Key points

Avoiding potential conflicts

M&C must ensure that:

- Clients are not disadvantaged by the trade
- Member not benefit personally from clients' trade
- Applicable law is complied

Personal trading secondary to trading for clients

Personal trade must be after client and employer trade and must not adversely affect client investments

Standard for nonpublic information

M&C must not act on employer/client pending trade information for personal gain

Impacts on all account with beneficial ownership

Personal transaction = own account, family account or account that M&C have pecuniary interest

REVISION ETHICS

Standard VI: CONFLICTS OF INTEREST

Standards VI (C): Referral fees

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights

Disclosure of benefit received

Key points

- Before entering into any formal service agreement, M&C must disclose all types of benefit received for referral
- Advise the client or prospective client, before entry into any formal agreement for services

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Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE; Standards VII (A): Conducts as participants in CFA institute program

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights

Key points

Confidential program information

Candidates are **prohibited** from disclosing confidential material gained during the exam process

CFA program restriction

Violating any test policies or revealing grading process constitutes a violation

Expressing an opinion

M&C are free to disagree and express their disagreement with CFA on policies/procedures but cannot disclose content-specific information

REVISION ETHICS

Standard VII: RESPONSIBILITIES OF A CFA INSTITUTE MEMBER OR A CFA CANDIDATE; Standards VII (B): Reference to CFA institute, the CFA designation, and the CFA program

EXAM FOCUS (★)

This part points out what you need to focus on, and what can easily be mistaken when making choices in the exam.

Guidance highlights	Key points
CFA institute membership	M&C must remit annually a Professional Conduct Statement and pay membership fees, and is permitted to state that he was a CFA member in the past.
Using the CFA Designation	Not permitted to overpromise personal competence, claim superior ability or investments result tied to CFA designation.
Referring to candidacy in the CFA Program	Candidate must not imply that they have achieved any partial designation or cite an expected completion date.
Proper reference to CFA designation	CFA marks must be used only after a name or as an adjective and can not be used as part of the name of a firm.